(ii) Cooperation between the IMF and Regional Financial Agreements to help countries deal with exogenous shocks (and access emergency assistance); and

(iii) The adequacy of IMF's resources to play systemic role for the benefit of its whole membership.

## Financial Regulation

The G-7 countries along with a few more advanced economies with large financial sectors were the most important participants in a grouping that established the ***Basel Committee*** on Banking Supervision in 1974, whose primary function was to act as a forum for coordination of supervision of the financial sector, particularly large banks, in these economies. In the wake of the major 2007-09 global financial crisis, the most severe since the 1930s, the effectiveness of financial regulation was called into question. Since then, quite significant reforms of financial regulation have taken place both within countries and internationally in terms of international regulatory standards and organisations.

Meanwhile, some of the advanced economies have started the process of *Financial Regulation Reforms*. In general, regulating financial markets and intermediaries and striking a balance between the need for maintaining financial stability and good market conduct without stifling innovation have always been a challenge. The global crisis brought home the inherent difficulty in doing that especially where financial institutions have had cross-border operations and exposures. This was because, with financial globalisation, many banks and other financial market participants had cross-border operations but were mostly subject to national regulations.

The weaknesses in financial regulation (apart from global imbalances) were perceived as a major cause of the global crisis. The Cannes Summit Communiqué 2011 (of the G-20) had reiterated the commitment that financial markets, products, and participants be regulated or subject to oversight appropriate to their circumstances in an internationally consistent and non-discriminatory way. The *declaration* spells out the initiatives taken that include the regulation of banks, over-the-counter (OTC) derivatives, compensation practices, and credit-rating agencies. The Cannes Action Plan